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Uni debt relief won't fix cost-of-living pressures

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The Albanese Labor government recently announced that a total of \$3bn will be wiped off student debt due to changes in the loan indexation rules. This will benefit millions of university students and graduates with lower debts; however, it will not do much to fix the cost-of-living crisis.

Since their inception, HECS-HELP loans have been pegged to the consumer price index, rising at the same rate as inflation. This makes a lot of sense as the “real” value of the loan [does not increase over time](#).

However, in the recent post-Covid economy, we have seen periods of sustained high inflation, which led to HELP loans growing by 7.1 per cent last year. Such a high level of interest meant many people's loans grew despite paying off thousands in that year.

To combat this, the government will follow the recommendation of the Universities Accord and now [index loans](#) at the lesser of price inflation and wage growth, measured by the wage price index.

Moreover, it has decided to backdate this change, so last year's 7.1 per cent indexation has been downgraded to the 3.2 per cent WPI figure, saving thousands off most student loans. This will be to the delight of numerous parliamentarians,

including Monique Ryan, who gathered over a quarter-million signatures on a petition to drive this change.

However, while this is welcome news to HELP loan holders, it will do almost nothing to improve cost-of-living. HELP loans are a style of income-contingent loans, where repayments are determined as a percentage of income, the rate of which is a sliding scale. Starting from 1 per cent at an income of \$51,550, debtors will be required to repay 10 per cent of their income if they earn more than \$151,201.

This means that despite the government reducing loan sizes, it will not change repayments. Therefore, it will have no effect on disposable income and cost-of-living pressures.

What it will do is reduce time taken to pay back loans. While still helpful to graduates, the effects won't be seen for years to come. The only people it helps today are those whose loans are almost amortised.

However, the benefit is very small given their loans are already small, and this demographic of people don't necessarily need as much cost-of-living support as they have necessarily been earning a high enough income for a reasonable period of time to fully pay off their student loan already.

If the government wants to improve the HECS-HELP system to improve cost pressures on students and graduates, it should consider other changes. The recently announced [payments for students who undertake placements](#) as part of their degree (including teaching and nursing) is a good start.

Next, the government should consider a way to ensure banks account for HELP loans differently to standard debt. This will make it easier for people to borrow for a house, as banks will factor the income-contingent nature of HELP loans, which makes them a distinctly low-risk style of debt. You can't get buried in HELP debt because you only pay a percentage of your income, regardless of loan size.

Moreover, the government should make sure indexation occurs after the repayments have been taken. Currently, indexation applies on June 1 each year, which does not take account of the repayments the Australian Taxation Office has already automatically deducted in the previous 11 months of the financial year. A change to this will be fairer for debtors.

Aside from this, if the government wants to ease cost-of-living pressures, it should look outside the higher education system. Targeting relief to university graduates is not equal as they typically receive higher incomes already.

Firstly, the government should seriously consider levers to support current university students. This cohort is generally young, with low wealth and incomes. The welfare system needs to better support students by raising the size of Centrelink study payments to match the high cost of living they face today.

Secondly, the government needs to be bolder in addressing cost-of-living pressures in the broader macroeconomy. In the short term, it should look at fair indexation of welfare payments, enhanced rental assistance, and energy bill subsidies. In the long term, increasing the stock of housing will be one of the most effective ways to reduce the cost of living. This is among other important initiatives that should be considered, including comprehensive tax reform, renewable energy investments, and industrial relations improvements.

Ultimately, while the government seems to be getting higher education right for now, there is more to be done on broader cost-of-living measures. It feels a bit cart-before-the-horse to have a strong higher education sector while there are thousands of households struggling to stay afloat.

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